

PRY: Prysmian S.p.A.

EPS Acceleration · ROIC 13.5% · Picks & Shovels for the Green Transition

NTM P/E	ROIC (LTM)	ROE (LTM)	Net Debt/EBITDA
11.23x	13.5%	19.8%	1.63x → 1.40x
Reasonable for the moat	Capital efficiency	Deep profitability	Compressing safely
Value Rank	Growth Rank	Net Income Fwd	EPS Trajectory
17/100	85/100	€1,732M → €1,847M	€5.35 → €6.71
EU universe	TOP GROWTH	Expanding net income	Fwd EPS path

BEHIND THE GLOBAL GRID UPGRADE

When investors think of Growth, they usually look toward software, AI chips, or hot tech ecosystems. But some of the most resilient, high-margin growth stories are hiding in plain sight within European heavy industrial infrastructure. Prysmian S.p.A. — the undisputed global leader in submarine and underground cable systems — is a prime example surfaced by our quantitative engine. With a **Growth Score of 85/100**, qualifying as a **Top Growth** name, Prysmian is experiencing a powerful secular growth acceleration driven by the global energy transition and grid modernisation — while the market still misclassifies it as a cyclical industrial.

1 · Exponential Forward Earnings Power

True quality growth is defined by a consistent, upward-trending trajectory in bottom-line expansion. Prysmian is executing this with exceptional visibility.

- **EPS Expansion Path:** Normalised EPS expanding from **€5.35** → **€6.24** in the next fiscal period, then scaling further to **€6.71** in the medium-term consensus cycle.
- **Backlog-Protected Growth:** Growth is highly protected by long-term, backlogged institutional contracts — Prysmian's order book provides multi-year revenue visibility unique in the industrial sector.
- **Net Income Scaling:** Total Net Income projected to cross **€1,732M** and climb to **€1,847M** as higher-margin submarine power grid interconnectors become a larger share of the revenue mix.

2 · Stellar Capital Efficiency — Not a Cash-Burning Growth Story

High-growth stories that destroy capital are narratives, not investments. Prysmian combines exceptional growth with best-in-class returns on deployed capital.

- **ROIC 13.5%:** Management generates exceptional returns on every euro of capital deployed — including into high-tech cable-laying vessels and deep-sea installation infrastructure. This is the proof point that Prysmian's moat is real and expanding.
- **ROE 19.8%:** An LTM Return on Equity of 19.8% demonstrates deep profitability and value compounding directly for equity holders — rare for an asset-heavy industrial of this scale. This is the metric that separates true compounders from value traps.

3 · Healthy Balance Sheet — Growth Funding Itself

In a high-interest-rate environment, growth must be self-sustaining. Prysmian's leverage profile provides the financial flexibility to fund its organic growth pipeline without equity dilution.

- **Active Deleveraging:** Net Debt compressing from €4,642M to **€4,354M** — reducing leverage while simultaneously growing the business.
- **Leverage Well Below Threshold:** Net Debt/EBITDA declining from 1.63x to **1.40x** — well below the 2.5x industrial sector comfort threshold.
- **Self-Reinforcing Flywheel:** Declining debt combined with rising EBITDA creates a financial flywheel that does not require external capital to sustain the growth trajectory.

The Bottom Line — Picks & Shovels for the Energy Transition

You cannot connect offshore wind farms to the mainland grid. You cannot upgrade global power infrastructure to handle AI data centre loads. You cannot achieve Europe's 2030 renewable energy targets — without Prysmian's specialised high-voltage submarine and underground cable technology. At 11.23x NTM earnings with 19.8% ROE, 13.5% ROIC, a multi-year order book backlog, and structural demand from offshore wind, HVDC grid interconnectors and EV charging networks, Prysmian offers institutional-grade exposure to the energy transition at a price that does not yet reflect its secular growth moat. A Growth Score of 85/100 confirms Top Growth status across 3,700+ European equities.

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